

Luxshare (002475.SZ)

Data center / automotive electronics expansion drives growth; initiate H-share and reinstate A-share at Buy

002475.SZ	12m Price Target: Rmb98.00	Price: Rmb56.58	Upside: 73.2%
2475.HK	12m Price Target: HK\$93.20	Price: HK\$60.40	Upside: 54.3%

We reinstate coverage of Luxshare-A at Buy with a 12m TP of Rmb98.0, and initiate Luxshare-H at Buy with a 12m TP of HK\$93.2. As a leading global technology company from China specializing in precision intelligent manufacturing solutions (PIMS), covering components, modules, and systems, we expect the company's revenues to grow at a 24% CAGR in 2025-28E driven by: (1) Data center expansion, led by cable/connectors for rack-level servers, and AI server components and assembly for Chinese cloud service providers; (2) the automotive electronics business, riding on the smart driving trend (heads-up display/domain controllers/display modules) and global client base diversification; and (3) the legacy consumer electronics components and modules business, which we expect to maintain steady growth, with rising smartphone ODM penetration.

Key debates: Our NI forecasts are 18%/30% above consensus in 2026E/27E, mainly reflecting our positive view on: 1) Apple outperforming peers as the leading global brand amid high memory costs; 2) AI servers ramp up and Luxshare's continuous market share expansion; 3) mix upgrade from consumer electronics to data center business to drive better margin; and 4) strong execution and cost control to support lower Opex ratio. We believe Luxshare possesses capabilities in tailored materials and innovative manufacturing processes, alongside a diversified client base with a global presence.

Valuation: We derive our A-share target P/E of 20.8x from correlation of the sum of earnings growth (2027E-28E average NI YoY) and operating margin (2027E-28E average OPM), and the average valuation multiple (2027E P/E) of Luxshare's peers. Our H-share valuation is based on an A-H discount of 13% (avg. A-H discount of tech peers in past 60 days). **Key risks:** 1) Slower-than-expected consumer electronics market demand; 2) higher-than-expected opex ratio; and 3) FX risk.

BUY

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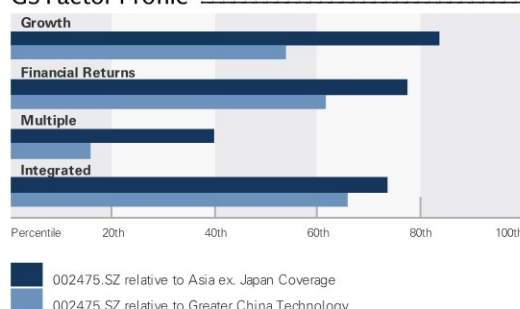
Key Data

Market cap: Rmb431.8bn / \$64.0bn
Enterprise value: Rmb441.6bn / \$65.5bn
3m ADTV: Rmb11.5bn / \$1.7bn
China
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn) New	332,344.4	423,339.6	520,196.1	633,380.7
Revenue (Rmb mn) Old	332,344.4	—	—	—
EBITDA (Rmb mn)	27,500.3	38,676.4	50,817.0	65,619.7
EPS (Rmb) New	2.28	3.36	4.71	6.39
EPS (Rmb) Old	2.28	—	—	—
P/E (X)	19.3	16.9	12.0	8.9
P/B (X)	3.8	3.2	2.6	2.1
Dividend yield (%)	0.7	0.8	1.1	1.5
CROCI (%)	19.6	21.4	24.9	28.8
	3/26	6/26E	9/26E	12/26E
EPS (Rmb)	0.50	0.58	0.91	1.37

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Luxshare (002475.SZ)

Rating since Aug 17, 2026

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	19.3	16.9	12.0	8.9
P/B (X)	3.8	3.2	2.6	2.1
FCF yield (%)	(0.2)	3.6	8.6	10.0
EV/EBITDAR (X)	13.6	11.4	8.1	5.7
EV/EBITDA (excl. leases) (X)	13.6	11.4	8.1	5.7
CROCI (%)	19.6	21.4	24.9	28.8
ROE (%)	21.7	23.2	23.9	26.1
Net debt/equity (%)	31.4	(6.4)	(23.6)	(36.2)
Net debt/equity (excl. leases) (%)	31.4	(6.4)	(23.6)	(36.2)
Interest cover (X)	8.4	11.0	15.8	22.5
Days inventory outst, sales	40.7	39.4	38.3	36.9
Receivable days	44.5	46.0	45.0	44.0
Days payable outstanding	91.0	85.0	85.0	85.0
DuPont ROE (%)	16.0	16.4	19.4	21.4
Turnover (X)	1.1	1.1	1.1	1.2
Leverage (X)	2.9	2.5	2.4	2.2
Gross cash invested (ex cash) (Rmb)	182,219.4	207,657.7	221,911.3	243,015.8
Average capital employed (Rmb)	115,600.8	141,586.3	145,183.9	145,697.1
BVPS (Rmb)	11.59	17.91	21.76	27.31

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	23.6	27.4	22.9	21.8
EBITDA growth	25.2	40.6	31.4	29.1
EPS growth	23.6	47.3	40.4	35.6
DPS growth	50.0	47.3	40.4	35.6
EBIT margin	4.4	5.5	6.5	7.6
EBITDA margin	8.3	9.1	9.8	10.4
Net income margin	5.0	6.1	7.0	7.8

Price Performance

002475.SZ (Rmb)

Shanghai - Shenzhen 300



Source: FactSet. Price as of 14 Aug 2026 close.

Income Statement (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	332,344.4	423,339.6	520,196.1	633,380.7
Cost of goods sold	(292,755.9)	(370,851.5)	(452,374.5)	(543,958.6)
SG&A	(13,409.1)	(15,728.5)	(17,964.2)	(20,901.6)
R&D	(11,428.0)	(13,615.8)	(16,126.1)	(20,268.2)
Other operating inc./exp.)	—	—	—	—
EBITDA	27,500.3	38,676.4	50,817.0	65,619.7
Depreciation & amortization	(12,748.8)	(15,532.7)	(16,964.2)	(17,367.5)
EBIT	14,751.4	23,143.7	33,852.8	48,252.3
Net interest inc./exp.)	(767.4)	(196.4)	(77.0)	(18.3)
Income/(loss) from associates	4,265.4	5,438.1	6,296.9	8,358.4
Pre-tax profit	19,549.9	28,156.0	40,072.7	56,592.5
Provision for taxes	(1,379.6)	(2,232.5)	(3,606.5)	(7,133.8)
Minority interest	(1,570.5)	(308.0)	—	—
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	16,599.8	25,615.5	36,466.2	49,458.6
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	16,599.8	25,615.5	36,466.2	49,458.6
EPS (basic, pre-exception) (Rmb)	2.28	3.36	4.71	6.39
EPS (diluted, pre-exception) (Rmb)	2.28	3.36	4.71	6.39
EPS (basic, post-exception) (Rmb)	2.28	3.36	4.71	6.39
EPS (diluted, post-exception) (Rmb)	2.28	3.36	4.71	6.39
DPS (Rmb)	0.30	0.44	0.62	0.84
Div. payout ratio (%)	13.2	13.2	13.2	13.2

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	61,159.2	129,386.6	163,766.1	202,981.0
Accounts receivable	48,438.8	58,266.0	70,001.6	82,703.9
Inventory	42,332.8	49,110.1	59,955.6	68,210.0
Other current assets	44,086.2	44,086.2	44,086.2	44,086.2
Total current assets	196,017.0	280,848.9	337,809.4	397,981.2
Net PP&E	65,901.1	69,941.5	71,575.2	69,826.6
Net intangibles	3,820.7	3,985.6	4,125.7	4,244.8
Total investments	12,009.7	12,009.7	12,009.7	12,009.7
Other long-term assets	28,789.2	28,789.2	28,789.2	28,789.2
Total assets	306,537.7	395,574.9	454,309.2	512,851.4
Accounts payable	80,910.6	91,814.8	118,880.2	134,470.4
Short-term debt	73,838.7	96,882.5	96,882.5	96,882.5
Short-term lease liabilities	—	—	—	—
Other current liabilities	21,738.9	21,738.9	21,738.9	21,738.9
Total current liabilities	176,488.1	210,436.1	237,501.5	253,091.7
Long-term debt	19,933.8	22,407.5	22,407.5	22,407.5
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	6,095.5	6,095.5	6,095.5	6,095.5
Total long-term liabilities	26,029.3	28,503.0	28,503.0	28,503.0
Total liabilities	202,517.4	238,939.0	266,004.5	281,594.7
Preferred shares	527.2	527.2	527.2	527.2
Total common equity	84,393.9	136,701.6	168,370.4	211,322.5
Minority interest	19,099.1	19,407.1	19,407.1	19,407.1
Total liabilities & equity	306,537.7	395,574.9	454,309.2	512,851.4
Net debt, adjusted	33,140.5	(9,569.5)	(43,948.9)	(83,163.9)

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	16,599.8	25,615.5	36,466.2	49,458.6
D&A add-back	12,748.8	15,532.7	16,964.2	17,367.5
Minority interest add-back	1,570.5	308.0	—	—
Net (inc)/dec working capital	(10,685.2)	(5,700.3)	4,484.4	(5,366.6)
Other operating cash flow	(2,908.6)	—	—	—
Cash flow from operations	17,325.3	35,755.8	57,914.7	61,459.5
Capital expenditures	(17,904.3)	(19,737.9)	(18,737.9)	(15,737.9)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	(6,302.3)	—	—	—
Cash flow from investing	(24,206.6)	(19,737.9)	(18,737.9)	(15,737.9)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(3,464.0)	(3,369.9)	(4,797.3)	(6,506.5)
Inc/(dec) in debt	35,531.9	25,517.4	—	—
Other financing cash flows	(12,387.1)	30,062.0	0.0	0.0
Cash flow from financing	19,680.8	52,209.6	(4,797.3)	(6,506.5)
Total cash flow	12,799.5	68,227.5	34,379.4	39,215.0
Free cash flow	(579.0)	16,017.9	39,176.7	45,721.5

Source: Company data, Goldman Sachs Research estimates.

Investment thesis

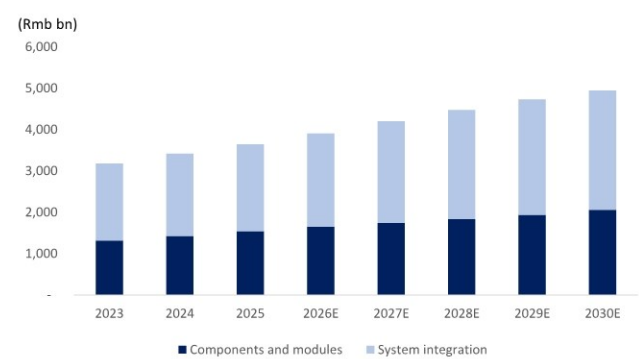
Luxshare is the leading supplier in the global consumer electronics and modules precision intelligent manufacturing solution market, and is expanding into the automotive electronics and data center markets, as well as new products like AI robots and XR (Extended Reality) devices. The company focuses on the innovation of materials, processes, and intelligent manufacturing systems to consolidate its leading position in the PIMS industry. We see that it is actively pursuing: (1) Globalization: enhancing its global services and delivery capabilities; (2) Platform upgrade: improving its development and manufacturing platform to increase production efficiency and yield rate; and (3) Vertical product integration and horizontal industry expansion, supporting the company in diversifying its client base.

- **Diversified business with comprehensive product offerings:** The company is diversifying from the consumer electronics business to the automotive electronics and data center businesses. We note that the company has 500+ product categories to fulfill clients' demand, including smartphone assembly, smartphone components (acoustics/ wireless charging/ casing/ LCP antenna, etc.), automotive electronics (wireless charging/ heads-up display/ domain controllers), and data center components (liquid cooling/ optical modules/ power supply).
- **Global presence with intelligent manufacturing system:** Luxshare has 105 production sites, 28 R&D centers, 94 testing labs, and 66 offices in 29 countries as of Dec 31, 2025 per the company, supporting its global services and delivery for clients.
- **Strong R&D capabilities for innovation:** The company has developed over 260 types of manufacturing processes, and continues to develop innovative processes; for example, its non-physical foaming solution addresses a critical challenge in high-speed interconnect technology for the communication and data center industry.

Leading supplier in the global consumer electronics PIMS market

In 2025, the company was the second largest supplier in the global consumer electronics and modules precision intelligent manufacturing solution market, with a market share of 11.2%, per Frost & Sullivan. The global consumer electronics PIMS market is expected to grow at a 6.1% CAGR in 2026-2030 to Rmb4,947bn in 2030, per Frost & Sullivan, driven by technological progress in precision intelligent manufacturing (e.g., precision machining, 3D printing), and rising user demand for enhanced features and new products (e.g., AI robots, XR devices). Industry suppliers continue to enhance product dimensional accuracy and performance stability through precision manufacturing, better production efficiency, and optimized cost.

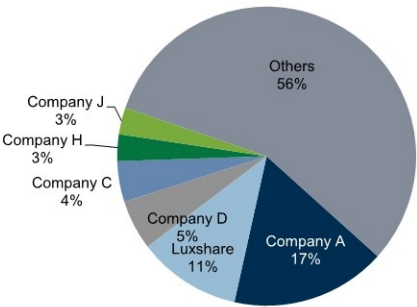
Exhibit 1: Global consumer electronics PIMS to grow at a 6% CAGR in 2026-30 to Rmb4,947bn in 2030



Source: Frost & Sullivan

Exhibit 2: The group’s revenue accounted for 11% of the total market in 2025

Global consumer electronics PIMS market share in 2025

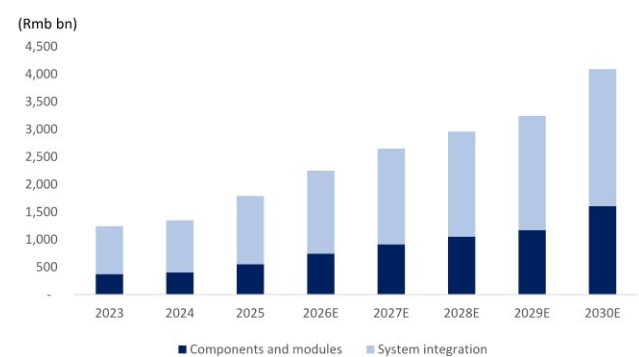


Source: Frost & Sullivan

Expanding to data center components and modules market

The company has expanded into the global communication and data center components and modules PIMS market, accounting for a 2.5% market share globally in 2025, per Frost & Sullivan. The PIMS for the communication and data center market include filter modules, heat dissipation structures, antennas, RF connectors, distributed systems, power supply modules, and structural components. The global communication and data center PIMS market is expected to grow at a 16.1% CAGR in 2026-2030 to Rmb4,089bn in 2030, per Frost & Sullivan, driven by rising demand for higher transmission efficiency and growing AI server demand.

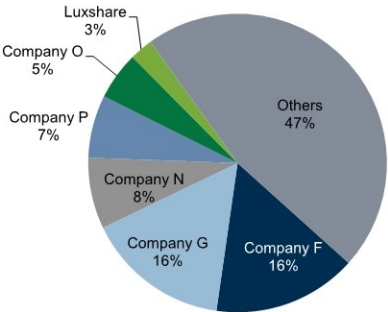
Exhibit 3: Global communication and data center PIMS market to grow at a 16% CAGR in 2026-30 to Rmb4,089bn in 2030



Source: Frost & Sullivan

Exhibit 4: The group’s revenue accounted for 2.5% of the total market in 2025

Global communication and data center market share in 2025



Source: Frost & Sullivan

Exhibit 5: Luxshare key revenue assumptions

	2026E	2027E	2028E
Total revenues (Rmb m)	423,340	520,196	633,381
YoY %	27%	23%	22%
A Apple products, Rmb m	227,619	262,502	273,100
YoY %	15%	15%	4%
as a % of total revenues	54%	50%	43%
i. Components, Rmb m	114,147	122,521	126,228
as a % of total revenues	27%	24%	20%
a. Apple products global shipment; TAM (m units)			
iPhones	242	242	247
Macbook	27	28	29
b. Luxshare allocation (%)			
iPhones - acoustics	33%	33%	33%
iPhones - haptics	50%	50%	50%
iPhones - wireless charging	33%	33%	33%
iPhones - LCP antenna	35%	35%	35%
iPhones - top module	29%	33%	36%
iPhones - bottom module	29%	33%	36%
Macbook casing	48%	50%	50%
c. Luxshare shipment (m units)			
iPhones - acoustics	81	81	82
iPhones - haptics	121	121	123
iPhones - wireless charging	80	80	82
iPhones - LCP antenna	85	85	86
iPhones - top module	71	80	88
iPhones - bottom module	71	80	88
Macbook casing	13	14	14
d. Luxshare dollar content per device (US\$)			
iPhones - acoustics	2	2	2
iPhones - haptics	2	2	2
iPhones - wireless charging	2	2	2
iPhones - LCP antenna	7	7	7
iPhones - top module	115	109	104
iPhones - bottom module	36	34	32
Macbook casing	91	86	82
e. Cable / connectors (Rmb m)	23,064	23,612	23,936
YoY %	-4%	2%	1%
ii. Assembly, Rmb m	113,471	139,981	146,872
as a % of total revenues	27%	27%	23%
a. Apple products global shipment; TAM (m units)			
Airpods	70	74	77
Apple watch	41	43	45
Macbook	27	28	29
XR	-	-	-
b. Luxshare allocation (%)			
Airpods	70%	70%	70%
Apple watch	50%	50%	50%
Macbook	35%	50%	50%
XR			
c. Luxshare shipment (m units)			
Airpods	49	52	54
Apple watch	20	21	22
Macbook	9	14	14
XR	-	-	-
d. Luxshare dollar content per device (US\$)			
Airpods	79	75	71
Apple watch	335	338	344
Macbook	583	602	620
XR			
B Automotive electronics, Rmb m	64,400	75,066	87,473
YoY %	64%	17%	17%
as a % of total revenues	15%	14%	14%
i. Leoni (cable/connectors), Rmb m	40,000	44,000	48,400
as a % of total revenues	9%	8%	8%
ii. Cable / connectors, Rmb m	12,328	13,561	14,917
as a % of total revenues	3%	3%	2%

Source: Goldman Sachs Global Investment Research

Exhibit 6: Luxshare key revenue assumptions (continued)

	2026E	2027E	2028E
iii. Automotive electronics (e.g. Wireless charging, busbar) Rmb m	8,451	12,253	16,910
as a % of total revenues	2%	2%	3%
iv. System (e.g. HUD, Domain controllers), Rmb m	3,622	5,251	7,247
as a % of total revenues	1%	1%	1%
Cross check			
a. Global market size (Rmb m)	2,977,500	3,174,100	3,399,400
Cable / connectors	438,642	467,181	497,394
Other components and modules	1,452,058	1,529,319	1,610,206
System	1,086,800	1,177,600	1,291,800
Luxshare market share	2.2%	2.4%	2.6%
Cable / connectors	11.9%	12.3%	12.7%
Other components and modules	0.6%	0.8%	1.1%
System	0.3%	0.4%	0.6%
b. Global smart car shipment (m units)	78	84	88
Global vehicle shipment (m units)	102	106	110
Smart car penetration rate	77%	79%	80%
Luxshare's coverage in smart cars	75%	80%	85%
Smart cars coverage (m units)	59	67	75
Dollar content per car (US\$)	157	157	164
C Telecom/ Data center, Rmb m	51,423	87,564	165,868
YoY %	109%	70%	89%
as a % of total revenues	12%	17%	26%
i. Cable/ connectors for NV rack-level AI servers, Rmb m	10,921	29,369	66,654
as a % of total revenues	3%	6%	11%
a. Global TAM (k units)	50	92	148
GB200	-	-	-
GB300	40	-	-
Rubin	10	58	10
Rubin Ultra	-	34	104
The following generations	-	-	34
b. Luxshare market share	26%	31%	33%
GB200	20%	20%	20%
GB300	25%	25%	25%
Rubin	30%	30%	30%
Rubin Ultra	33%	33%	33%
The following generations	35%	35%	35%
c. Luxshare dollar content per rack (US\$)	120,387	143,522	189,399
GB200	-	-	-
GB300	119,747	-	-
Rubin	122,653	120,000	120,000
Rubin Ultra	-	180,000	180,000
The following generations	-	-	234,000
ii. Servers, Rmb m	20,696	35,490	73,996
as a % of total revenues	5%	7%	12%
a. AI servers (Rmb m)	15,527	30,453	69,211
Shipment (k units)	15	28	55
ASP (US\$)	146,507	154,854	177,252
Local AI chips (k units)	5,884	11,002	21,844
Luxshare's market share	2%	2%	2%
b. General servers (Rmb m)	5,169	5,037	4,785
Shipment (k units)	103	103	103
ASP (US\$)	7,194	6,859	6,516
Global general servers TAM (k units)	14,966	15,196	-
Luxshare's market share	0.7%	0.7%	-
iii. Others, Rmb m	19,807	22,705	25,218
as a % of total revenues	5%	4%	4%
a. Cable / connectors	10,401	11,953	12,884
Optical module	1,500	2,550	3,825
Cooling	743	824	907
Power supply	1,230	1,292	1,356
Telecom components	2,879	2,879	2,879
Others	3,055	3,207	3,368
Cross check			
b. Global market size (Rmb m)	1,595,700	1,747,200	1,919,600
Luxshare market share	1.2%	1.3%	1.3%
c. Global optical module TAM (US\$m)	43,188	53,579	49,476
Luxshare market share	0.5%	0.7%	1.1%
D Others, Rmb m	79,898	95,064	106,939
YoY %	14%	19%	12%
as a % of total revenues	19%	18%	17%
i. Android smartphones ODM, Rmb m	18,164	31,464	41,390
as a % of total revenues	4%	6%	7%
a. Shipment (m units)	76	130	173
ASP (US\$)	34	34	34
Cross check			
b. Global Android smartphone shipment (m units)	906	928	935
ODM penetration (Android)	67%	70%	74%
Global Android smartphone ODM shipment (m units)	608	650	691
Luxshare global market share	12%	20%	25%
ii. Casing for Android smartphones / PCs, Rmb m	6,667	7,000	7,350
as a % of total revenues	2%	1%	1%
iii. Cable / connectors for Android smartphones / PCs, Rmb m	50,793	52,327	53,925
as a % of total revenues	12%	10%	9%
iv. Others, Rmb m	4,274	4,274	4,274
as a % of total revenues	1%	1%	1%

Source: Goldman Sachs Global Investment Research

Key debates:

1. Apple concentration: We note market concerns on Luxshare's Apple concentration, while we argue that the company is diversifying into AI servers and automotive business. GS expects Apple global shipment growth at -2%/ +5% YoY in 2026E/ 27E vs. global smartphones shipment growth at -10%/ +3% YoY ([Report link](#)), outperforming peers as the leading global brand amid high memory costs. For iPhone top module and bottom modules, we expect the company to gain share from 30% in 2026E to 34% in 2028E. Overall, we still expect company's exposure to Apple would continue to go down.

2. AI server ramp up and market share gain: Investors' discussion focused on the key growth drivers to support Luxshare's data center expansion and its competitive edges. We expect company's data center revenues contribution to go up from 12% in 2026E to 26% in 2028E, and view AI server rack copper cable/ connector and AI server assembly as key drivers. The cable/ connector business is for NVIDIA AI servers, riding on strong AI server shipment ramp up at 55k/ 105k/ 163k units in 2026E-28E (vs. 19k in 2025, [report link](#)), and company's market share gain, supported by its capabilities to offer high-density design and products with ultra-low latency. On AI server assembly business, the company mainly targets China CSP and Telco clients, riding on the growing China Cloud capex spending, and the company's accumulated production capabilities.

3. Margin expansion: Investors have concerns on company's iPhone assembly business margin, while we argue that we expect the improving production efficiency to support the company's iPhone assembly business to contribute better net margin from 1.4% in 2026E to 2% in 2028E to catch up to the industry level. As the early entrant in intelligent manufacturing for high precision, high yield, and high operational efficiency, the company has moved to "Intelligent 2.0" manufacturing based on an AI agent and migrated to new-generation intelligent AOI system and automated laser soldering process. Besides, the company also adopts a modular manufacturing architecture, enabling rapid and cost-effective production lines for flexible delivery and to accommodate seasonal demand fluctuations.

Financial highlights

We forecast **revenues** to grow at a 28% CAGR in 2025-28E, driven by: (1) telecom / data centers: +89% CAGR to 26% of 2028E revenues, (2) automotive electronics: +31% CAGR to 14% of 2028E revenues, and (3) smartphone ODM: +102% CAGR to 7% of 2028E revenues.

- 1. Telecom / data centers:** driven by: (1) cables / connectors in NVIDIA AI server racks, riding on the AI server rack shipment ramp up, dollar content increases on speed upgrades, and market share gains from a low base, (2) component ramp-up for China Cloud: optical modules, liquid cooling, and power supply, and (3) AI server assembly for Chinese customers, supported by the growing generative AI trend.
- 2. Automotive electronics:** driven by: (1) smart driving at China car OEMs: power chain, heads-up display, display module, and domain controllers, (2) Leoni (in which Luxshare has a 74.9% stake): provides automotive cable products with a client base

of global OEMs, bringing synergies for Luxshare to expand its automotive products and clients.

3. **Smartphone ODM:** driven by China ODMs' growing penetration rate, and market share gains from a low base.
4. **MacBook assembly:** driven by market share gains from Taiwan assemblers on R&D and precision manufacturing, commitment to capacity and diversification, bundle sales with MacBook casing and cables / connectors, and timely customer service.

We forecast the company's **GM** to improve from 11.9% in 2025 to 14.1% in 2028E mainly on: (1) a better product mix, and (2) a higher production yield rate, driving top module, bottom module, MacBook (casing and assembly), and smartphone ODM GMs.

We expect net income to grow at a 44% CAGR in 2025-28E, supported by (1) expansion towards data center and automotive electronics, (2) GM improvement on product mix upgrade, and (3) improving operational efficiency, supported by higher automation levels to drive efficient production and growing scale.

GS vs. Consensus: We are 18% / 30% higher than BBG consensus for 2026E / 27E net income mainly on higher revenues, higher GM, lower opex ratio, and higher investment income. The higher revenues reflect our positive view on: (1) Apple outperforming peers as the leading global brand amid high memory costs, (2) AI servers ramp up and Luxshare's continuous market share expansion. The higher GM reflects our positive view on Luxshare's product mix upgrade from consumer electronics to AI data centers, for which Luxshare mainly offers components; this segment also enjoys stronger end market growth vs. consumer electronics. The lower opex ratio reflects our positive view on Luxshare's strong execution and costs control; we expect the company's rising revenue scale to drive operation efficiency.

Exhibit 7: GS vs. Bloomberg consensus

Rmb mn	GS	2026E		Diff %	GS	2027E		Diff %
		BB				BB		
Revenue	423,340	414,344	2%		520,196	488,927	6%	
GP	52,488	49,978	5%		67,822	62,270	9%	
OP	23,144	22,273	4%		33,853	29,543	15%	
Net income	25,615	21,642	18%		36,466	28,127	30%	
Margins								
GM	12.4%	12.1%			13.0%	12.7%		
OPM	5.5%	5.4%			6.5%	6.0%		
NM	6.1%	5.2%			7.0%	5.8%		

Source: Goldman Sachs Global Investment Research, Bloomberg

Exhibit 8: Luxshare P&L summary

Rmb m	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E	2022	2023	2024	2025	2026E	2027E	2028E
Revenues	61,788	62,715	96,411	111,430	83,888	82,241	117,404	139,807	214,028	231,905	268,795	332,344	423,340	520,196	633,381
GP	6,907	7,548	12,382	12,751	10,000	10,036	14,150	18,302	26,100	26,864	27,985	39,589	52,488	67,822	89,422
OP income	2,858	2,901	4,836	4,157	3,189	3,498	6,613	9,844	11,269	11,709	11,381	14,751	23,144	33,853	48,252
Pretax income	3,822	4,318	6,089	5,322	4,291	4,712	7,638	11,515	11,158	12,885	16,109	19,550	28,156	40,073	56,592
Net income	3,044	3,601	4,874	5,081	3,660	4,335	7,027	10,594	9,163	10,953	13,366	16,600	25,615	36,466	49,459
YoY															
Revenues	18%	23%	31%	22%	36%	31%	22%	25%	39%	8%	16%	24%	27%	23%	22%
GP	23%	16%	43%	77%	45%	33%	14%	44%	38%	3%	4%	41%	33%	29%	32%
OP income	26%	23%	30%	36%	12%	21%	37%	137%	50%	4%	-3%	30%	57%	46%	43%
Pretax income	36%	29%	39%	-5%	12%	9%	25%	116%	37%	15%	25%	21%	44%	42%	41%
Net income	23%	23%	32%	18%	20%	20%	44%	108%	30%	20%	22%	24%	54%	42%	36%
QoQ															
Revenues	-33%	2%	54%	16%	-25%	-2%	43%	19%							
GP	-4%	9%	64%	3%	-22%	0%	41%	29%							
OP income	-6%	2%	67%	-14%	-23%	10%	89%	49%							
Pretax income	-31%	13%	41%	-13%	-19%	10%	62%	51%							
Net income	-29%	18%	35%	4%	-28%	18%	62%	51%							
Margins															
GM	11.2%	12.0%	12.8%	11.4%	11.9%	12.2%	12.1%	13.1%	12.2%	11.6%	10.4%	11.9%	12.4%	13.0%	14.1%
OPM	4.6%	4.6%	5.0%	3.7%	3.8%	4.3%	5.6%	7.0%	5.3%	5.0%	4.2%	4.4%	5.5%	6.5%	7.6%
NM	4.9%	5.7%	5.1%	4.6%	4.4%	5.3%	6.0%	7.6%	4.3%	4.7%	5.0%	5.0%	6.1%	7.0%	7.8%
Ratios															
R&D ratio	3.5%	3.9%	3.7%	2.9%	3.6%	3.5%	3.0%	3.0%	3.9%	3.5%	3.2%	3.4%	3.2%	3.1%	3.2%
Opex ratio	6.6%	7.4%	7.8%	7.7%	8.1%	8.0%	6.4%	6.1%	6.9%	6.5%	6.2%	7.5%	6.9%	6.5%	6.5%
Tax rate	11.6%	9.2%	10.8%	-2.3%	7.5%	8.0%	8.0%	8.0%	6.0%	5.0%	9.5%	7.1%	7.9%	9.0%	12.6%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 9: Luxshare balance sheet

Rmb m	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash and equivalents	14,205	19,367	33,620	48,360	61,159	129,387	163,766	202,981
Account receivable	31,623	26,043	23,504	32,561	48,439	58,266	70,002	82,704
Inventory/stocks	20,901	37,363	29,758	31,703	42,333	49,110	59,956	68,210
Other current assets	5,580	5,518	7,346	25,922	44,086	44,086	44,086	44,086
Current assets	72,309	88,292	94,228	138,545	196,017	280,849	337,809	397,981
Net PP&E/Fixed assets	34,113	44,026	44,561	48,231	65,901	69,942	71,575	69,827
Net intangibles	2,223	2,696	2,663	2,791	3,821	3,986	4,126	4,245
Total investments	1,126	2,000	4,233	7,488	12,010	12,010	12,010	12,010
Other long-term assets	10,801	11,371	16,307	26,771	28,789	28,789	28,789	28,789
Non-current assets	48,263	60,092	67,764	85,282	110,521	114,726	116,500	114,870
Total assets	120,572	148,384	161,992	223,828	306,538	395,575	454,309	512,851
Accounts payable	45,416	49,786	45,909	65,088	80,911	91,815	118,880	134,470
Short-term debt and current portion of long-term debt	12,190	16,144	23,381	35,315	73,839	96,882	96,882	96,882
Other current liabilities	7,225	8,701	5,545	13,471	21,739	21,739	21,739	21,739
Current liabilities	64,831	74,631	74,835	113,875	176,488	210,436	237,502	253,092
Long-term debt	7,831	11,895	14,838	22,925	19,934	22,407	22,407	22,407
Other long-term liabilities/creditors	2,128	3,074	2,034	2,341	6,095	6,095	6,095	6,095
Total long-term liabilities	9,959	14,969	16,872	25,266	26,029	28,503	28,503	28,503
Total liabilities	74,789	89,600	91,707	139,140	202,517	238,939	266,004	281,595
Total shareholders funds/equity	45,783	58,784	70,285	84,687	104,020	156,636	188,305	231,257
Total liabilities and equity	120,572	148,384	161,992	223,828	306,538	395,575	454,309	512,851
CCC days								
Account receivable days	54	49	39	38	44	46	45	44
Inventory days	46	57	60	47	46	45	44	43
Account payable days	93	92	85	84	91	85	85	85
Cash conversion cycle	7	13	14	1	(0)	6	4	2
Dupont analysis								
Asset turnover	1.6	1.6	1.5	1.4	1.3	1.2	1.2	1.3
Leverage (assets/equity)	2.5	2.6	2.4	2.5	2.8	2.7	2.5	2.3
Net margin	4.6%	4.3%	4.7%	5.0%	5.0%	6.1%	7.0%	7.8%
ROE (common equity)	22%	23%	22%	21%	22%	23%	24%	26%
Ratio								
ROA	7%	7%	7%	7%	6%	7%	9%	10%
Net debt to equity	13%	15%	7%	12%	31%	-6%	-24%	-36%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 10: Luxshare cash flow statement

Rmb m	2021	2022	2023	2024	2025	2026E	2027E	2028E
Income pre-preferred share dividends	7,071	9,163	10,953	13,366	16,600	25,615	36,466	49,459
Minority interest add-back	750	1,328	1,291	1,213	1,570	308	-	-
Depreciation and amortization add-back	4,942	7,405	9,853	10,590	12,749	15,533	16,964	17,367
(Increase)/decrease in working capital :	(3,109)	(6,512)	6,266	8,178	(10,685)	(5,700)	4,484	(5,367)
Other operating cash flow items	(2,369)	1,345	(757)	(6,230)	(2,909)	-	-	-
Cash flow from operations	7,285	12,728	27,605	27,117	17,325	35,756	57,915	61,459
Capital expenditure	(12,567)	(13,584)	(11,387)	(12,111)	(17,904)	(19,738)	(18,738)	(15,738)
Other investment cash flow items	4,188	258	(8,172)	(23,545)	(6,302)	-	-	-
Cash flow from investing	(8,380)	(13,326)	(19,560)	(35,656)	(24,207)	(19,738)	(18,738)	(15,738)
Cash flow from financing	(390)	8,156	4,070	25,890	19,290	52,210	(4,797)	(6,507)
Effect of foreign exchange rate changes	(58)	833	256	232	(335)	-	-	-
Other adjustments	5,220	(3,228)	1,881	(2,843)	726	0	0	0
Net change in cash	3,676	5,163	14,252	14,740	12,800	68,227	34,379	39,215
Ratio								
Free cash flow	(5,282)	(857)	16,218	15,006	(579)	16,018	39,177	45,722
Capex to revenues	8%	6%	5%	5%	5%	5%	4%	2%

Source: Company data, Goldman Sachs Global Investment Research

Valuation and downside risks

We derive our 12m TP for Luxshare-A/H based on 2027E P/E, which we believe is appropriate given this captures the company's near-term earnings growth potential. This methodology is also consistent with companies under our GC Tech coverage. Our 2027E target P/E is derived from the correlation of the sum of earnings growth (2027E-28E average NI YoY) and operating margin (2027E-28E average OPM), and the average valuation multiple (2027E P/E) of Luxshare's peers.

We apply a **20.8x target P/E multiple** on Luxshare's 2027E net income, based on the company's 38% 2027E-28E NI YoY and 7.1% 2027E-28E OPM, and a peer average ratio of 0.46x. The peer group includes technology companies with similar business profiles, such as Hon Hai, FIT, FII, BYDE, AAC, Lens Tech, AVC, Quanta, and Amphenol. Based on 2027E P/E, our 12m TP for Luxshare-A is Rmb98.0.

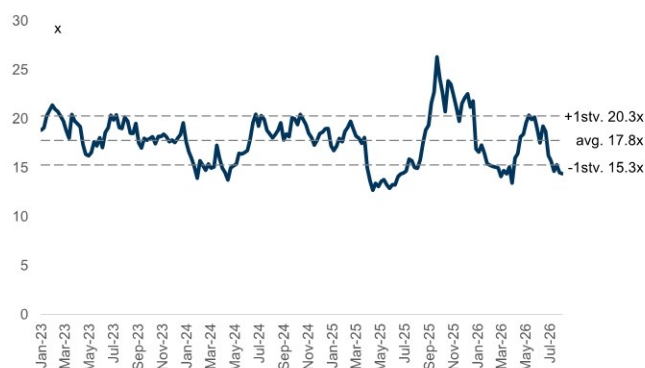
For Luxshare-H, we apply a 13% A-H discount and derive a 12m TP of HK\$93.2 (with FX rate at 1HKD:0.9CNY). The A-H discount references comparable tech peers' avg. A-H discount in the last 60 days; these peers include Gigadevice, Victory Giant, BYD, Huaqin and OmniVision. Our Luxshare-H TP implies 18.1x 2027E P/E (vs. 11.3x currently), close to A-share +1stv. P/E of 20.3x.

Exhibit 11: We derive our target P/E multiple from peers' avg. ratio of trading P/E to forward-year fundamentals (NI YoY and OPM)

Target P/E multiple derivation					
Company	Ticker	2027E PE	2027-28E NI YoY	2027-28E OPM	Ratio
Luxshare	002475.SZ	11.8	38%	7.1%	0.26
Peers					
Hon Hai	2317.TW	11.7	15%	2.8%	0.66
FIT	6088.HK	11.1	38%	9.3%	0.24
FII	601138.SS	14.2	41%	4.2%	0.31
BYDE	285.HK	9.6	26%	2.4%	0.33
AAC	2018.HK	13.2	12%	9.9%	0.61
Lens Tech	6613.HK	14.1	38%	7.6%	0.31
Quanta	2382.TW	11.4	12%	3.4%	0.75
AVC	3017.TW	20.9	32%	25.4%	0.37
Amphenol	APH	26.2	16%	29.5%	0.58
Avg.		14.7	25%	10.5%	0.46
Luxshare (TP implied)	002475.SZ	20.8	38%	7.1%	0.46

Source: Goldman Sachs Global Investment Research

Exhibit 12: Luxshare 12m forward P/E



Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 13: We adopt A-H discount of 13%

A-H discounts	
High-end (last 60 days avg. discounts)	
Company	Discounts
Gigadevice	19%
Victory giant	-12%
BYD	-17%
Huaqin	-27%
OmniVision	-27%
Avg.	-13%

Source: Bloomberg

M&A framework: We assign an M&A rank of 3 (indicating a low probability of the company being acquired) to Luxshare, given the company has a long operational history and higher share holding of founding/management team. With this, we do not include an M&A component in our price target methodology.

Key risks:

- 1) Slower-than-expected consumer electronics market demand: The company has high exposure to the consumer electronics market; if the demand is weaker than expected, there could be downside risks to our earnings estimates.
- 2) Higher-than-expected opex ratio: We expect opex ratio to improve with the company's scale ramp up; if the opex ratio is higher than expected, there could be downside risks to our current estimates.
- 3) FX risk: The company is mainly exposed to US customers, with overseas revenue at 93%, mainly in USD; thus, a weak USD (RMB appreciation vs. USD) would negatively impact Luxshare.

Price Target Risks and Methodology - Luxshare

Valuation methodology: We are Buy rated on Luxshare-A/H with 12-month target prices of Rmb98/HK\$93.2 based on 2027E P/E. With forward-year earnings growth at 38% in 2027E-28E and 7.1% OPM, we apply a 20.8x target P/E multiple to our 2027E EPS; our target multiple is based on the correlation of peers' earnings growth and OPM with P/E, which is also consistent with Luxshare's historical average P/E over the past year.

Downside risks: 1) Slower-than-expected consumer electronics market demand; 2) higher-than-expected opex ratio; 3) FX risk - the company is mainly exposed to US customers, with overseas revenue at 93%, mainly in USD; thus, a weak USD (RMB appreciation vs. USD) would negatively impact Luxshare.

Investment Thesis - Luxshare

Luxshare Precision Industry Co., Ltd. (Luxshare) is a leading global technology company from China specializing in precision intelligent manufacturing solutions (PIMS), covering components, modules, and systems, for global clients across consumer electronics, automotive electronics, communication and data centers. It was the second largest supplier in the global consumer electronics and modules precision intelligent manufacturing solution market measured by revenue in 2025, with a market share of 11.2%, per Frost & Sullivan. The company is also expanding into automotive wiring harness PIMS, data center components/modules, and copper connectivity markets. We are Buy rated on Luxshare, and see the company's current valuation as attractive.

Disclosure Appendix

Reg AC

We, Verena Jeng, Allen Chang and Ting Song, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

Disclosures

The rating(s) for Luxshare is/are relative to the other companies in its/their coverage universe: AAC, ACM Research, AMEC, ASMPT, AVC, AccoTest, Anji Micro, Asus, Auras, BOE, BYDE, Biren, CR Micro, Cambricon, Chenbro, China Mobile (HK), China Telecom, China Tower Corp., China Unicom, Chinasoft Intl, Compal, Desay SV, E Ink, E-Town Semis, EHang, Empyrean, Eoptolink, FOCl, Fositek, Foxconn Industrial Internet, Gigabyte, Gigadevice, Glodon Co., HTC Corp., Hikvision, Hon Hai, Horizon Robotics, Hua Hong, Huace Navigation, Huaqin Co.(A), Huaqin Co.(H), Hwatsing, Iluvatar, InnoScience, Inspur, Insta360, Inventec, JCET, Kematek, King Slide, Kingdee, Kingsoft Office, LandMark, Largan, Lenovo, Lingyi, Luxshare, Maxscend, Meitu, MetaX, Mitac, Montage (A), Montage (H), NAURA, NSIG, Nexchip, OmniVision, Pegatron, Pony AI Inc. (ADR), Pony AI Inc. (H), Quanta, RoboTechnik, Ruijie Networks, SG Micro, SICC, SMIC (A), SMIC (H), SZS, Sangfor, SenseTime, Shengyi Tech, Shennan Circuits, StarPower, Sunny Optical, TFC Optical, Thundersoft, Tongyu Communication, Transsion, UMT, UNIS, VPEC, Vanchip, VeriSilicon, Victory Giant, WNC, WUS, WeRide, Wistron, Wiwynn, YJ Semitech, YOFC, Yonyou, ZTE (A), ZTE (H), iFlytek

Company-specific regulatory disclosures

The following disclosures relate to relationships between The Goldman Sachs Group, Inc. (with its affiliates, "Goldman Sachs") and companies covered by Goldman Sachs Global Investment Research and referred to in this research.

Goldman Sachs beneficially owned 1% or more of common equity (excluding positions managed by affiliates and business units not required to be aggregated under US securities law) as of the month end preceding this report: Luxshare (Rmb56.58) and Luxshare (HK\$60.40)

Goldman Sachs has received compensation for investment banking services in the past 12 months: Luxshare (Rmb56.58) and Luxshare (HK\$60.40)

Goldman Sachs expects to receive or intends to seek compensation for investment banking services in the next 3 months: Luxshare (Rmb56.58) and Luxshare (HK\$60.40)

Goldman Sachs had an investment banking services client relationship during the past 12 months with: Luxshare (Rmb56.58) and Luxshare (HK\$60.40)

Goldman Sachs had a non-investment banking securities-related services client relationship during the past 12 months with: Luxshare (Rmb56.58) and Luxshare (HK\$60.40)

Goldman Sachs has managed or co-managed a public or Rule 144A offering in the past 12 months: Luxshare (Rmb56.58) and Luxshare (HK\$60.40)

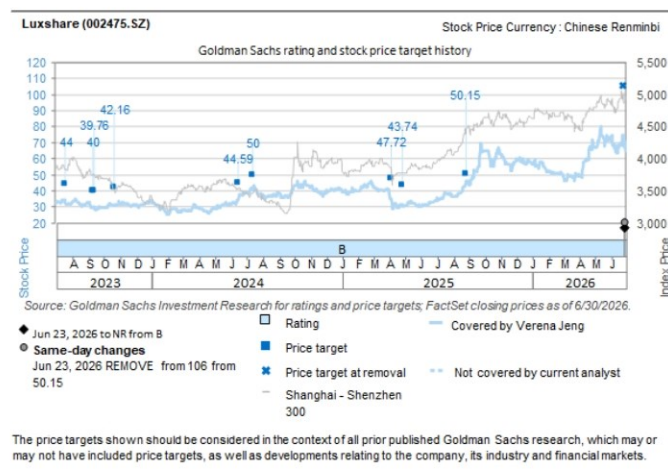
Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	59%	43%

As of July 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,104 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)



Target price history table(s)

Luxshare (002475.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
23-Jun-26	106.00	69.36
26-Aug-25	50.15	45.60
27-Apr-25	43.74	31.61
06-Apr-25	47.72	35.42
15-Jul-24	50.00	40.99
17-Jun-24	44.59	37.00
22-Oct-23	42.16	30.71
13-Sep-23	39.76	29.00
11-Sep-23	40.00	29.85

Price targets shown in table(s) are unadjusted for corporate actions.

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